

FEDERAL MARITIME COMMISSION

Washington, D.C.

Docket No. 21-02

YSN IMPORTS INC. d/b/a FLAME KING, Complainant

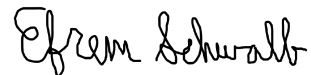
v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC., Respondents.

MOTION FOR LEAVE TO FILE ANSWER OUT OF TIME

Pursuant to 46 C.F.R. § 502.69, Respondents Feige “Peggy” Oberlander, U Shippers Group Inc., and U Shippers Group Management CO., Inc. (collectively “Respondents”) respectfully move for permission to file the attached Answer to the Complaint out of time. Lead counsel for Respondents failed to timely file an answer due to the press of other business, including being on trial last week in a New Jersey arbitration, my son getting married on this past Monday, and because my client was in a remote location with very limited access to a computer. Due to these reasons, counsel for Respondents were unable to finalize an Answer to the complaint within the time provided in the Court’s order of July 7, 2021. Pursuant to Federal Rule of Civil Procedure 6(b)(B), Respondents moves the Commission for leave to file the attached Answer to the Complaint out of time on the basis of excusable neglect. The length of the delay will have minimal impact on the Commission and its resolution of the dispute at issue.

Respectfully submitted,

A handwritten signature in black ink, appearing to read "Efrem Schwalb". The signature is written in a cursive, slightly stylized font.

Efrem Schwalb

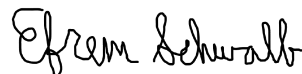
CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel for Complainant at the following address(es):

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Executed: July 28, 2021

A handwritten signature in black ink, reading "Efrem Schwalb", written in a cursive style.

Efrem Schwalb

FEDERAL MARITIME COMMISSION

Washington, D.C.

Docket No. 21-02

YSN IMPORTS INC. d/b/a FLAME KING, Complainant

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC., Respondents.

RESPONDENTS’ ANSWER TO COMPLAINT

Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”), through their undersigned counsel, hereby answer the Complaint of YSN Imports Inc. d/b/a Flame King (“YSN”). Respondents specifically aver that the use of headers in this Answer is merely for the purpose of referencing the allegations of the Complaint, and no admission as the truth or accuracy of these headers is made, and to the extent any response is required to these header, they are expressly and specifically denied.

I. The Complaint

- A. Respondents admit that YSN brought this action. All other allegations of paragraph I.A. are denied.
- B. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph I.B., and they are therefore denied.
- C. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph I.C., and they are therefore denied, except that Respondents admit that Complainant has shipped cargo through ocean common carriers.

II. The Respondents

- A. Admitted.
- B. Admitted.
- C. Admit the first sentence, and deny the second sentence.
- D. Denied, except Respondents admit that pursuant to the Association By-Laws, Management has authority to manage the affairs of the Association.
- E. Denied.

III. Jurisdiction

- A. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
- B. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, Respondents admit that the Commission generally has jurisdiction over persons and entities who control other entities within the Commission's jurisdiction, but deny that "in this situation" jurisdiction exists over the claims asserted.
- C. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegation of this paragraph are admitted, but it is denied that in this case such jurisdiction exists or is of "paramount importance."
- D. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
- E. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, Respondents are without knowledge or information sufficient to respond to the allegations of this paragraph and they are therefore denied.

F. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations of this paragraph are admitted, except it is denied that the quoted excerpt constitutes “key language.”

G. Denied.

IV. Statement of the Case

A. Introduction

1. Denied.

2. Denied.

B. Facts

1. Deny the allegations in this paragraph, except admit that Oberlander formed Management on or about January 28, 2020, and that Oberlander is the sole equity holder of Management.

2. Admitted.

3. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.3, and they are therefore denied.

4. Admitted.

5. Admitted.

6. Respondents admit that Oberlander sent an email on or about February 13, 2020, and Respondents further respond that the contents of such email speak for themselves. The summary of the contents of such email alleged by Complainant in this paragraph are denied.

7. Respondents admit that Oberlander sent an email on or about February 19, 2020, and Respondents further respond that the contents of such email speak for themselves.

8. Respondents admit that Newman replied by email, and Respondents further respond that the contents of such email speak for themselves.
9. Respondents admit that Oberlander and Newman corresponded by email on or about February 24, 2020. Respondents further respond that the contents of such emails speak for themselves.
10. Admitted.
11. Admitted.
12. Admitted.
13. Admitted.
14. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.14, and they are therefore denied.
15. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.15, and they are therefore denied.
16. Respondents deny the allegations of paragraph IV.B.16, except admit that Oberlander spoke to Newman on or about May 20, 2020, and that YSN provided zipcodes to which it was shipping via email.
17. Respondents admit that Oberlander sent an email on or about June 10, 2020, and Respondents further respond that the contents of such email speak for themselves.
18. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.18, and they are therefore denied.
19. Respondents admit that Oberlander sent an email on or about July 14, 2020, and Respondents further respond that the contents of such email speak for themselves.

20. Respondents admit that an enrollment agreement was sent to Complainant.

Respondents further admit that the contents of such agreement speak for themselves.

The summary of the contents of such agreement alleged by Complainant in this paragraph are denied.

21. Admitted.

22. Respondents admit that Oberlander sent an email on or about July 20, 2020, and

Respondents further respond that the contents of such email speak for themselves.

Respondents further admit that the Association signed a contract with Maersk. All other allegations of this paragraph are denied.

23. Denied.

24. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.24, and they are therefore denied.

25. Respondents admit that Oberlander sent an email on or about August 10, 2020, and

Respondents further respond that the contents of such email speak for themselves.

With respect to the allegations of what was “[o]f particular concern for individual shippers,” Respondents deny knowledge or information sufficient to respond to such allegations and they are therefore denied.

26. Respondents admit that Oberlander sent an email on or about August 12, 2020, and

Respondents further respond that the contents of such email speak for themselves.

With regards to the second sentence of paragraph IV.B.26, Respondents deny knowledge or information sufficient to respond to such allegations and they are therefore denied.

27. Respondents admit that Complainant has booked shipments through the Association since August 2020. With regards to the remaining allegations of paragraph IV.B.27, Respondents deny knowledge or information sufficient to respond to such allegations and they are therefore denied.
28. Respondents admit that on or about September 13, 2020, and September 14, 2020, Respondents sent emails, and Respondents further respond that the contents of such email speak for themselves. With regards to the remaining allegations of paragraph IV.B.28, Respondents deny knowledge or information sufficient to respond to such allegations and they are therefore denied.
29. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.29 and they are therefore denied.
30. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.30 and they are therefore denied.
31. Respondents admit that Oberlander sent an email on or about October 27, 2020, and Respondents further respond that the contents of such email speak for themselves.
32. Respondents admit that YSN responded and Respondents further respond that the contents of such response speak for themselves.
33. Denied.
34. Respondents admit that Oberlander sent an email on or about November 9, 2020, and Respondents further respond that the contents of such email speak for themselves.
35. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.35 and they are therefore denied.

36. Respondents admit that Oberlander sent an email on or about November 16, 2020, and Respondents further respond that the contents of such email speak for themselves.
37. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.37 and they are therefore denied.
38. Respondents admit that YSN sent a letter through its counsel on or about November 20, 2020, and Respondents further respond that the contents of such letter speak for themselves.
39. Respondents admit that the Association sent a letter through its counsel on or about November 23, 2020, and Respondents further respond that the contents of such letter speak for themselves.
40. Respondents admit that the Association sent a letter through its counsel on or about November 24, 2020, and Respondents further respond that the contents of such letter speak for themselves.
41. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.41 and they are therefore denied.
42. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.42 and they are therefore denied.
43. Respondents admit that Oberlander sent an email on or about November 25, 2020, and Respondents further respond that the contents of such email speak for themselves.

44. Respondents admit that the Association's counsel sent an email on or about November 25, 2020, and Respondents further respond that the contents of such email speak for themselves.
45. Respondents admit that the Association's counsel sent an email on or about November 30, 2020, and Respondents further respond that the contents of such email speak for themselves. All other allegations of paragraph IV.B.45 are denied.
46. Respondents aver that the contents of the By-Laws speak for themselves. The summary of the contents of the by-laws alleged by Complainant in this paragraph are denied.
47. Respondents admit that YSN continued booking shipping via Maersk. As to the remaining allegations of this paragraph, Respondents deny knowledge or information sufficient to respond to such allegations they are therefore denied.
48. Respondents admit that they invoiced YSN all fees due for their services.
49. Respondents admit that they sent invoices to YSN on or about December 3, 2020, and further respond that the contents of such invoices speak for themselves.
50. Respondents admit that they sent an invoice to YSN on or about December 2020, and further respond that the contents of such invoices speak for themselves.
51. Denied.
52. Denied.
53. Respondents admit that YSN has been invoiced at least \$ 262,200 in fees. All other allegations of this paragraph are denied.
54. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.54 and they are therefore denied.

55. Admitted.

56. Admitted.

57. Denied.

58. Respondents admit that they were aware of the allowed allocation under the Service Contract. All other allegations of paragraph IV.B.58 are denied.

59. Denied.

60. Respondents deny knowledge or information sufficient to respond to the allegations of paragraph IV.B.60 and they are therefore denied.

61. Denied.

62. Denied.

63. Denied.

V. VIOLATIONS OF THE ACT

A. THE “FOR PROFIT” FEES IMPOSED BY THE ASSOCIATION DEPRIVE IT OF STATUS AS A “SHIPPERS’ ASSOCIATION” WITHIN THE DEFINITION OF THE ACT AT 46 U.S.C. § 40102(24), OR THE REGULATIONS AT 46 CFR § 520, WHICH REQUIRE THAT A SHIPPERS’ ASSOCIATION MUST OPERATE ON A NONPROFIT BASIS.

1. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
2. The allegations of the first sentence of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted. The allegations of the second sentence of paragraph 2 are admitted.

3. The allegations of the first sentence of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted. The allegations of the second sentence of paragraph 3 are denied.
4. Denied.
5. Denied.

B. THE ASSOCIATION, ACTING AS A “FOR-PROFIT” ENTITY, CANNOT MAKE THE CERTIFICATION TO BE RECOGNIZED AS A SHIPPER IN A SERVICE CONTRACT WITH A CARRIER, AS REQUIRED BY THE ACT AND THE COMMISSION'S REGULATIONS.

1. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
2. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
3. The allegations of this paragraph are legal conclusions requiring no response. To the extent a response is required, the allegations are admitted.
4. Denied.
5. Denied.

C. THE ASSOCIATION MISREPRESENTED ITS STATUS AS A NONPROFIT SHIPPER'S ASSOCIATION TO INDUCE MAERSK AND OTHER OCEAN COMMON CARRIERS TO ENTER SERVICE CONTRACTS AND OBTAIN RATES OTHERWISE UNAVAILABLE TO A FOR-PROFIT FREIGHT CONSOLIDATOR IN VIOLATION OF THE GENERAL PROHIBITION UNDER THE ACT AND THE COMMISSION'S REGULATIONS.

1. Denied.

2. Denied.
3. Denied.
4. Denied.
5. Denied.

D. RESPONDENTS' VIOLATIONS OF BOTH THE ACT AND THE COMMISSION'S REGULATIONS BY OPERATING ON A "FOR-PROFIT" BASIS AND FALSELY CERTIFYING IN THE SERVICE CONTRACT THAT IT IS NONPROFIT SHIPPERS' ASSOCIATION HAS CAUSED COMPLAINANT TO LOSE BOOKINGS AND TO INCUR COSTS TO PAY HIGHER SPOT RATES FOR EXISTING AND FUTURE BOOKINGS, ALL OF WHICH ENTITLES COMPLAINANT TO REPARATIONS IN AN AMOUNT TO BE DETERMINED BY THE COMMISSION.

1. Denied.
2. Denied.
3. Denied.

AFFIRMATIVE DEFENSES

1. To the extent Complainant has any cognizable damages or other monetary claims, it has failed to mitigate its damages.
2. Complainant has not alleged a Shipping Act violation.
3. Complainant has not suffered damages as a result of any Shipping Act violation.
4. Complainant lacks standing to assert a claim.
5. Complainant's claims are barred by the doctrine of unclean hands.
6. Respondents hereby give notice that they intend to rely on such other affirmative defenses as may become available or apparent in the course of discovery and, therefore, reserves its right to amend the Answer to assert such defenses.

WHEREFORE Respondents request that the Complaint be dismissed with prejudice, that it recover its attorneys' fees and expenses, and that the Commission provide it with such relief as may be just and equitable.

Dated: July 28, 2021
New York, New York

KOFFSKY SCHWALB LLC

By: /s/ Efrem Schwalb
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Counsel for Respondents

VERIFICATION

I, Peggy Oberlander, declare:

That I am the Director of Respondent U Shippers Group Inc. and an officer of Respondent U Shippers Group Management Co., Inc., as well as an individual respondent, and as such am authorized to make this verification on behalf of such respondents. I have read the attached Verified Answer, and based on the information available to me, I am informed and believe that the matters in said responses are true with respect to all respondents.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on this 28th day of July, 2021.

Peggy Oberlander

Peggy Oberlander

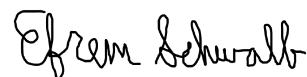
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Executed: July 28, 2021

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Efrem Schwalb